Q1 2025

Custom Managed Portfolios

QV Small Cap (RI)

Quick facts

Asset class:
Canadian Small-Mid Cap

Management style:
GARP[1]

Number of holdings:
38

Sub-advisor:
QV Investors Inc.

Portfolio manager:
Aviso Wealth

Minimum investment:
$150,000

Inception Date:
October 01, 1997

aviso wealth

What does the strategy invest in?

This strategy will mostly invest in equities of Canadian small to mid capitilization companies. The mandate also allows for a very limited exposure to US equities. QV adheres to strict Socially Responsible Investing (RI) principles when it selects securities for this mandate.

How has the strategy performed?

Average annual compound returns

	3 month	YTD	1 yr	3 yr	5 yr	10 yr	SI
Portfolio	1.9%	1.9%	12.4%	8.9%	19.5%	8.9%	11.2%
Benchmark[5]	0.9%	0.9%	11.1%	1.9%	20.4%	6.9%	6.2%

Calendar year returns

	2024	2023	2022	2021	2020	2019	2018
Portfolio	14.5%	13.2%	0.6%	26.0%	4.2%	17.4%	-9.1%
Benchmark[5]	17.9%	4.7%	-9.2%	24.8%	14.4%	19.2%	-18.2%

Standard deviation	9.3%	Sortino ratio	1.26	Upside capture	75.4%
Sharpe ratio	1.03	Beta (Equity)	0.73	Downside capture	43.7%

Largest holdings

1. ALTAGAS LTD 5.3%
2. LASSONDE INDS INC CL A 4.7%
3. IA FINANCIAL CORP INC 4.6%
4. PARKLAND CORP 4.6%
5. SECURE WASTE INFRA 4.6%
6. PET VALU HOLDINGS LTD 4.5%
7. WINPAK LTD 4.3%
8. DEFINITY FINL CORP 4.3%
9. MULLEN GROUP LTD 4.1%
10. EL FNCL CORP LTD 3.7%

Portfolio attributes

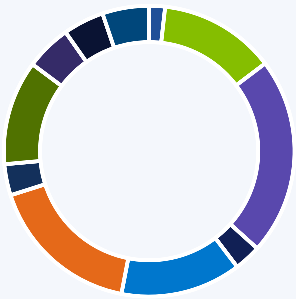
Dividend yield	Average Trailing P/E	Average Forward P/E	Average Trailing P/S	Average Forward P/S	Average market cap	Portfolio turnover
2.8%	23.46	14.01	1.50	1.24	4.15B	52.6%

Target allocations

Asset class	Min	Target	Current	Max
Canadian equities	70%	98%	97%	100%
US equities	0%	0%	0%	10%
Cash & cash equivalents	0%	2%	3%	20%

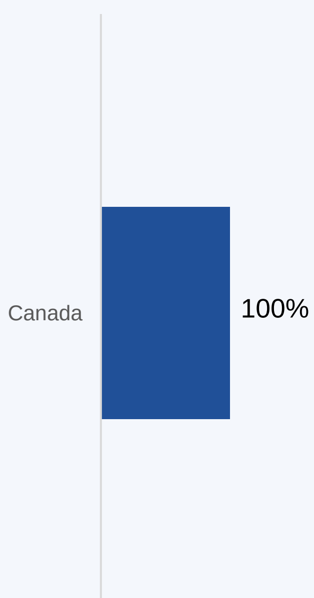
■ Target □ Current

Sector breakdown



- Communication Services
- Materials
- Financials
- Information Technology
- Energy
- Industrials
- Consumer Staples
- Consumer Discretionary
- Health Care
- Utilities
- Real Estate

Geographic allocation



Quarterly commentary

It has been a geopolitically charged environment this quarter with changes in the leadership of Canada and the breakout of a trade war with the U.S. There is still uncertainty in the near-and-mid-term with upcoming elections in Canada and a continuation of retaliatory tariffs and ongoing negotiations with the U.S. The significant increase in uncertainty has precipitated volatility and broader market declines. The commodity oriented Canadian market fared better over the quarter, with higher gold and copper prices helping it edge into positive territory.
Within the Canadian Small Cap benchmark, materials was an especially strong performer underpinned by strong rallies in metals pricing. The strategy's underperformance this quarter was largely driven by the materials allocation as our exposure in this sector is much less correlated with commodity prices, due to its bias to more resilient businesses. While the benchmark's gold related equities have been the largest driver of relative underperformance in the past quarter and 12 months, over a cycle we believe being focused on better compounding businesses and biased away from riskier business models is beneficial to clients over the long term on a risk adjusted basis.

The strategy's top contributing investments in the quarter were AltaGas Ltd., Lassonde Industries Inc., and Parkland Corp. The largest detractors were Cargojet Inc., Mullen Group Ltd., and Winpak Ltd.
The strategy added to our position in Richelieu Hardware over the quarter. They are a distributor of specialty hardware that has been relatively resilient in previous economic downturns due to their focus on repair and replacement rather than new construction. While they are not immune to weaker economic prospects, a strong balance sheet and management team that has shown good ability to invest capital counter-cyclically through downturns contribute to an attractive risk/reward.

Additional capital was also allocated to Cargojet. As an operator of air transport, concerns around consumer weakness and less transport across borders due to trade wars have contributed to an attractive opportunity to add to this holding. A dominant market share in time-sensitive air transport, high quality of service relative to peers, and long-term customer contracts with contractual minimums should all help the company's resilience through potential economic pressures. The strength of their Canada-wide air transport fleet is showcased by a broadening relationship over time with e-commerce giants like Amazon that have fully outsourced air transport within Canada to Cargojet. This contrasts with a continued trend to be more self-reliant/insource air transport in other regions like the United States.

These and other additions broadened out the strategy's diversification to a range of areas including stabler consumer areas such as e-commerce and pet spending, along with areas such as defense and distribution-based business models. In conjunction, these changes were funded via reducing exposure within the financials sector. Future market visibility continues to be cloudy and limited. We continue to anticipate rising volatility as new rules of global economic engagement solidify.

While the volatility may cause heartburn to some, it could be a healthy development as the market may have been too complacent on the building concentration and valuation risks of the past few years. Increased uncertainty has led to a heightened appreciation of risk, which has driven an expansion in risk premiums demanded along with a renewed focus on fundamentals, safety and predictability. Importantly, the volatility should increase opportunities for strategies such as ours that have been built for “all weather” scenarios rather than primarily sunny days only.

The strategy is better positioned today than when 2024 ended. The earnings power of the strategy has increased based on the rising profitability of holdings to an over 14.7% 4Y ROE. Crucially, this has been achieved while underlying risk has been diminished through broadening economic diversification and a stronger margin of safety, as the strategy’s P/E has declined to a market leading 12.6x. While the short-term outlook is dark and unclear, the strategy’s long-term prospects continue to be brighter. The strategy provides a well supported ~3% dividend yield, with potential for earnings per share to grow through countercyclical acquisitions, share buybacks or debt reduction due to the resilient cash generative positions of many holdings.

Investment manager overview

QV Investors Inc. is a Calgary-based portfolio management firm, founded in 1996, that is focused on balanced, Canadian equity, and fixed income portfolios for individuals, not-for-profit organizations, and institutional investors. QV stands for Quality and Value. The firm was founded by Leighton F. Pullen and is 100% employee owned.

Investment philosophy

In managing equities, QV believes that an emphasis on risk analysis and realistic expectations for growth are imperative. They place a large weighting on the quality of management and buy companies that demonstrate proven records, focused strategies, competitive products and services and superior financial quality. They further believe that a keen eye to value disciplines their investing. Their depth of experience, independent research, and comparative and measured analysis provides the base for high quality growth over the long term.

Investment process and risk controls

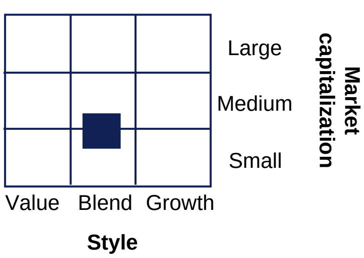
The QV uses fundamental research to identify corporate management teams who are able to sustain or improve the return on shareholder's equity and to create growth on a per share basis. In their analysis, they examine the executives' ownership, their integrity and vision, the promise of the business in a global context, the record of growth in shareholder's equity, earnings, and dividends and the corporation's financial strength, and the price paid for growth and/or assets. Their research process is internal with all managers assigned specific responsibilities and engaged in the selection and evaluation process.

Analysts meet daily to review analysis, monitor holdings, and examine the changing market and corporate fundamentals. They employ an open office environment to promote continuous communication of corporate news and developments.

Risks are governed by portfolio management and the continuous measurement of the character of the total portfolio. Specifically, they monitor the portfolio's diversification and quantitative characteristics. These include measures of financial quality, value and growth ratios, and sector and industry weightings. All of these are compared against the appropriate benchmarks. Their selections and weightings are adjusted in accordance with the prospects for economic growth and the valuations placed on the markets and securities.

QV maintains return on equity and other characteristics of the portfolio equal to or better than the character of the market as a whole and consistent with their global outlook. Such measures allow them to compare potential additions of new investment opportunities and reduce risk in aggressive markets.

Equity style[2]



About Aviso Wealth

Aviso Wealth is part of Aviso, one of Canada's largest independent wealth management firms. Owned by the credit unions, we serve hundreds of thousands of investors at credit unions across Canada.

With approximately $130 billion of assets under administration and management, Aviso has the resources to bring the best products and services to credit unions and their members. Invest with confidence, with your credit union and Aviso.

- Nearly 30 years as the wealth management provider to credit unions across Canada
- One of Canada's largest independent wealth management firms
- Parent company of Aviso Wealth, NEI Investments, and Qtrade
- Owned by Canada's credit unions and Desjardins

[1] GARP (Growth at a reasonable price)

[2] Style represents the aggregate characteristics of the underlying holdings within this model. Market capitalization measures the aggregate market value of the outstanding shares of a company. Large-cap stocks are defined as the group that accounts for the top 70% of the capitalization of each geographic area; mid-cap stocks represent the next 20%; and small-cap stocks represent the balance.

[3] Duration measures the sensitivity of the fixed income investments to interest rate changes measured in years. In general, the longer the duration, the more sensitive the investment will be to interest rates changes. Credit quality measures the underlying issuer's ability to repay their debt.

The return data is as at March 31, 2025. Indicated rates of return are historical annual compounded total returns including reinvestment of all distributions for the period ended, and do not take into account management expenses, account sales, redemption, distribution or optional charges or income taxes payable by any security holder that would have reduced returns.

[5] The benchmark is S&P TSX Small Cap Index TR

Aviso Wealth Inc. ('Aviso') is a wholly owned subsidiary of Aviso Wealth LP, which in turn is owned 50% by Desjardins Financial Holding Inc. and 50% by a limited partnership owned by the five Provincial Credit Union Centrals and The CUMIS Group Limited.

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